Synthetic Lessor (Pty) Ltd
1 Test Street, Testville, 0001

END-OF-TERM INSPECTION REPORT

Lease TEST-LSE-0001 · inspected 2 July 2027

1. THE LEASE

Lessee	TEST Lessee Holdings (2020/000001/07)
Lease reference	TEST-LSE-0001
Goods	2025 Testmake Loader 9000, serial SN-TEST-001
End of term	Expiry of the term: the goods are returned

2. THE INSPECTION

Inspected on	2 July 2027
Condition	Good, with wear to the bucket teeth and a cracked side mirror

3. METER READINGS

Start of the lease	120 hours on 1 July 2024
Final reading	4 620 hours on 2 July 2027
Used over the lease	4 500 hours

4. DAMAGE

No.	Description	Amount excl. VAT
1	Replace cracked side mirror	R 1,234.56
2	Repair dented left door	R 7,654.32

5. TOTALS (EXCL. VAT)

Damage	R 8,888.88
Excess usage	R 17,500.00
Total	R 26,388.88

VAT is added on the end-of-term tax invoice. This report is the lessor's record of the inspection and is not itself an invoice.

6. HOW THIS REPORT WORKS

6.1 Fair wear and tear

Damage is charged only where it goes beyond fair wear and tear. "Fair wear and tear" is the deterioration that results from normal use of the goods for their purpose, within the contracted usage, with the care and maintenance the lease agreement requires. It does not include accident or impact damage, missing or broken parts or glass, damage from misuse, overloading or neglect, unauthorised alterations, or damage the lessee's insurance covers or should have covered.

6.2 How the damage is assessed

Each item in section 4 is the lessor's assessed cost, excl. VAT, of repairing the damage or, where a repair is not economical, of replacing the damaged part, at the date of the inspection.

6.3 How excess usage is charged

The excess-usage charge in section 5 (R 17,500.00 excl. VAT) was calculated from the final reading in section 3: the final reading less the reading at the start of the lease, less the contracted usage a year multiplied by the number of months for

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which rentals fell due and divided by 12, at the excess-usage rate in the lease agreement. Using less than the contracted usage earns no credit.

6.4 Invoice and payment

The amounts in section 5, plus VAT, and any other end-of-term amount the lease agreement provides for (such as the settlement of a maintenance fund), are charged on one end-of-term tax invoice, which is payable within 7 days of its date.

6.5 If you disagree with this report

You may object to any item in writing, with reasons, within 10 business days of receiving this report, using the contacts in section 7. The lessor considers the objection in good faith and, if it upholds it, issues a credit note. An objection does not suspend payment of the items not in dispute.

7. HOW TO REACH US

Lessor	Synthetic Lessor (Pty) Ltd (trading as Synthetic Lessor)
Email	info@lessor.test
Telephone	+27 11 000 0001
Collections email	collections@lessor.test
Collections telephone	+27 11 000 0002

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